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Report Highlights:

The Republic of Korea (ROK)'s soybean crushing volumes are forecast to stay below both processing capacity and the three-year average in marketing year (MY) 2026/27, reflecting weak crushing demand due to favorable global prices for soybean byproducts. The ROK government announced that starting in 2026 they will discontinue voluntary add-ons to the food soybean WTO tariff-rate quota (TRQ) to promote domestic soybeans, resulting in market loss for U.S. exports. Soybean meal will remain the dominant protein source in compound feed production, though dried distillers grains with solubles (DDGS) are gaining market share. Soybean oil imports continue to rise, offsetting declining domestic crushing to meet demand for soybean oil as the primary edible oil in the Korean market. Shares of U.S. soybean oil continue to fluctuate based on export availability and increasing competition as Korean buyers diversify to new countries of origin for sourcing crude or refined soybean oil.

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Executive Summary

Oilseeds

Post Seoul forecasts that marketing year (MY) 2026/27 soybean production in the Republic of Korea (ROK) will decline slightly to 154,000 MT, as high government stocks of domestically produced soybeans from MY 2025/26 continue to accumulate without viable marketing channels. Although farmers have favored soybeans as a substitute crop for rice garnering heavy government incentives, lack of interest from local soy food manufacturers has dampened recent growth. The ROK government introduced steep discounts to promote consumption of local soybeans and reduce the high stocks, but industry still largely prefers imported soybeans because of price and quality specifications. In December 2025, the Ministry of Economy and Finance (MOEF) announced the ROK will reduce its WTO tariff rate quota (TRQ) for food soybeans to the minimum amount required in calendar year (CY) 2026, an additional measure to encourage local soybean consumption.

Total soybean crushing in MY 2026/27 is forecast flat with MY 2025/26 at 800,000 MT, 20 percent below the ROK's historic average crush volume. Post Seoul revised down estimated soybean crushing in MY 2025/26 to reflect further scaled-back processing plans by local crushers, as global soybean meal prices favor imports over domestic production. With reduced demand for soybeans for crushing, and the lower WTO TRQ volume for food soybeans, FAS Seoul forecasts MY 2026/27 and MY 2025/26 imports at just over 1 million MT, a 7.4 percent reduction from MY 2024/25.

Oilseed Meals

Soybean meal production in MY 2026/27 is forecast flat with MY 2025/26 – and 20 percent below the historical average – based on industry crush volume expectations. Post expects a modest 3-percent drop in soybean meal imports and near-flat consumption as soybean meal continues to dominate as the ROK's preferred protein source in compound feed production. After soybean meal, distillers dried grains with solubles (DDGS) of mostly U.S. origin remain strong as the number two protein source.

Oilseed Oils

As the primary edible oil in the ROK, soybean oil consumption is stable but production in MY 2026/27 will remain significantly below the historical average, in line with stagnant soybean crushing demand from the previous year. While this would typically result in increased imports, FAS Seoul expects the ROK to make up the difference by drawing from excess stocks accumulated in MY 2024/25. Nonetheless, FAS Seoul forecasts soybean oil imports in MY 2026/27 will remain above the three-year average, reflecting the long-term trend of reduced domestic crushing. The soybean oil market has grown more price-sensitive than in the past; buyers are flexible regarding the country of origin and type of soybean oil, sourcing crude or refined oil, and closely track global policies affecting the price of palm oil. Although the U.S. share of total soybean oil imports has shrunk dramatically due to limited export availability from high biofuel demand, it could recover if exportable supplies return.

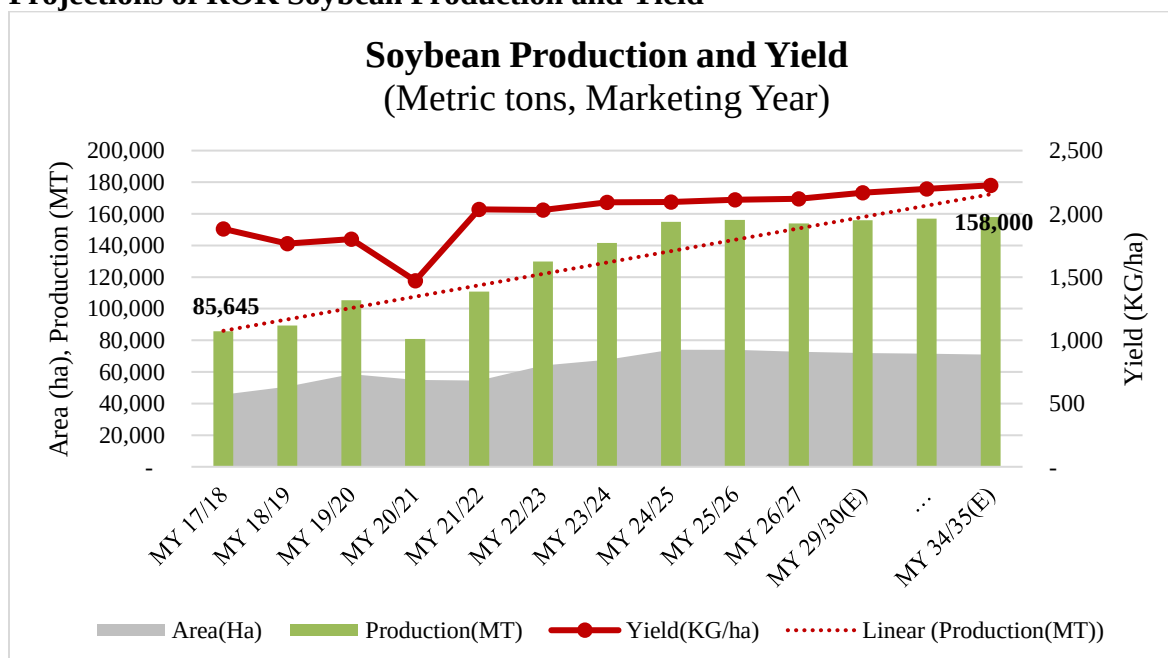
Oilseeds

Oilseeds Production

Post Seoul forecasts that marketing year (MY) 2026/27 soybean production in the Republic of Korea (ROK) will decline slightly to 154,000 MT based on a 1-percent reduction in planted area reported by the Korea Rural Economic Institute (KREI) planting intention survey. After receiving heavy subsidies as a substitute crop for rice, soybean planting may have reached a plateau now that government stocks of domestically produced soybeans have accumulated without viable marketing channels. According to 2026 agricultural outlook data published by KREI, government soybean stocks reached an estimated 127,000 MT in 2025, with domestic soybeans comprising 93 percent. Lack of demand for domestic soybeans, which could not keep pace with growing production, caused the overstock despite the government's efforts to promote local soybeans.

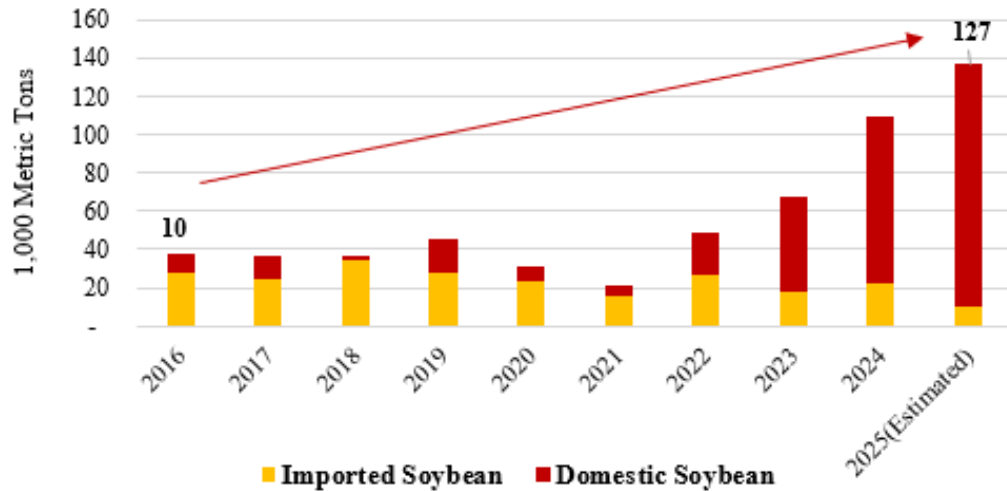
Since 2020, the ROK's domestic soybean production increased steadily, thanks to government incentives to replace rice paddy acreage with alternative crops. In MY 2025/26, soybean production reached a 20-year high of 156,145 MT on 74,000 harvested hectares (ha), a small but steady uptick from the previous year. Considering the stocks situation and sluggish demand for domestic soybeans, the Minister of Food, Agriculture, and Rural Affairs (MAFRA) Song Mi-ryung mentioned in an October 2025 interview with local media that further discussion is required to potentially scale back the soybean planting incentives in future years. In a January 2026 explanatory note, MAFRA stated that it has been continuously conducting a demand survey and consulting with local governments and producer groups to readjust planting acreage targets in line with estimated demand.

Figure 1
Projections of ROK Soybean Production and Yield



Source: Ministry of Data and Statistics (MODS); Korea Rural Economic Institute (KREI)

Figure 2
Accumulating Stocks of Domestic Soybeans
Government Reserves Increase
Due to Excess Supplies of Domestic Soybeans



Source: KREI Agricultural Outlook 2026; original data source is MAFRA.

Table 1
Domestic Production of Oilseeds

Oilseed Area and Production (1,000 Hectares, 1,000 Metric Tons)						
Crops	MY 2023/24		MY 2024/25		MY 2025/26	
	Area	Production	Area	Production	Area	Production
Soybean	67	141	74	155	74	156
Peanuts ^{1/}	4	9	3	8	N/A	N/A
Sesame	21	9	19	9	N/A	N/A
Perilla	41	48	38	44	N/A	N/A
Rapeseed	0.2	0.2	N/A	N/A	N/A	N/A
Total	133	207	N/A	N/A	N/A	N/A

Sources: Ministry of Data and Statistics (MODS); Ministry of Agriculture, Food and Rural Affairs (MAFRA); Korea Rural Economic Institute (KREI); 1/ In-shell Note: Data marked “N/A” will be available in May 2026

Oilseeds Consumption

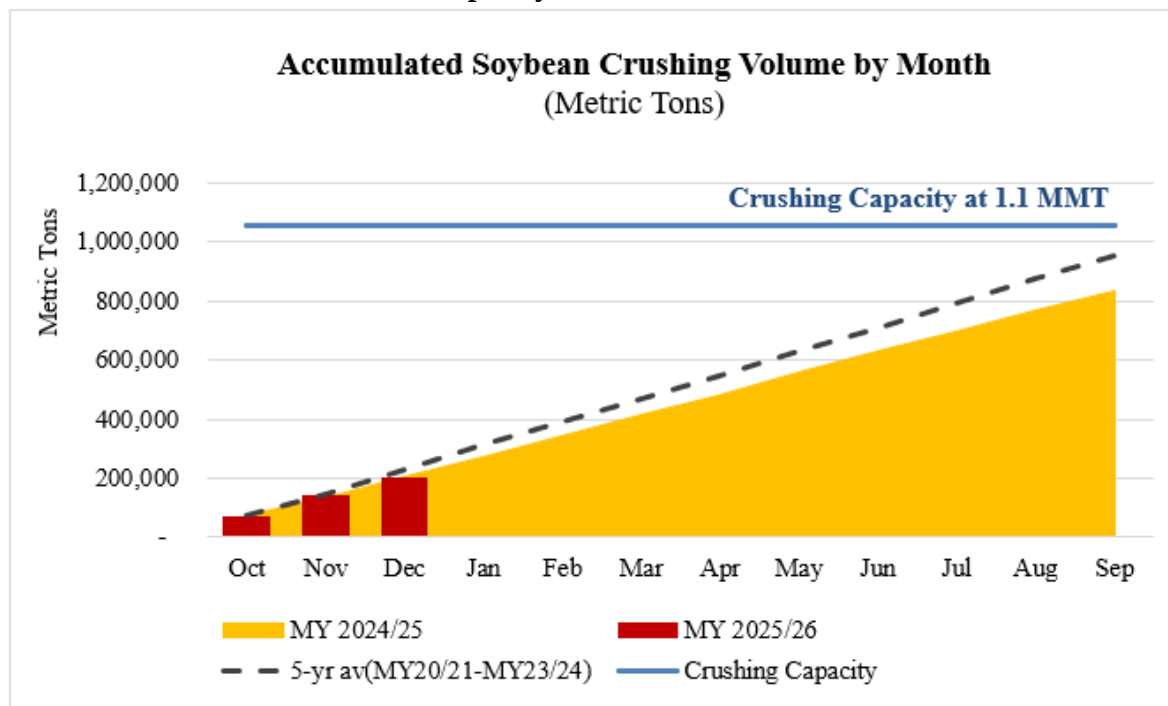
Korea consumes about 60 percent of total soybean supply for crushing, with the remainder used in food processing. Post Seoul forecasts the crushing volume for MY 2026/27 will remain at 800,000 MT, compared to the national capacity of 1.1 million MT (MMT) annually.

There are two local soybean crushers in the ROK. According to their 2026 operating plans, soybean demand for crushing will decline again in CY 2026 following the previous year's reduction. The current MY 2025/26 estimated crush volume represents a 4-percent decrease from the previous year, and a 20-percent drop from the 10-year average of 1 MMT. The recent decline in crushing volume stems from low crush margins due to favorable global prices for soybean byproducts, particularly soybean meal. Local ROK soybean crushers report that total crushing volume depends on the relative cost of imports, which are influenced by global energy policies affecting soybean oil demand. Considering the general policy outlook for biofuels, Korean crushers do not anticipate significant increases in their crush volume for the foreseeable future.

Soybean consumption for food products like tofu, soymilk, and soy sauce remains stable annually. However, the government's policy to limit food-grade soybean imports through capping the 2026 WTO TRQ at its minimum quantity means domestic soybeans will likely replace some imported soybeans, resulting in a short-term decrease in imported soybean use. To address the growing stocks of domestic soybeans, MAFRA is increasing promotional activities to facilitate domestic soybean consumption, including a 2026 initiative to provide domestic soybeans to processors at discounted prices. Domestic soybeans typically cost three times more than imported soybeans. Although the out-of-quota tariff on food-grade soybeans is generally prohibitive at 487 percent, some producers may still opt for imported soybeans because of quality specifications needed for their product ingredients.

In January 2026, MAFRA Minister Song Mi-ryung visited a local processing plant to discuss strategies for increasing soybean oil production from domestic soybeans. Aligning with the ROK's recent revisions to the genetically engineered (GE) food labeling requirements in the Food Sanitation Act, Minister Song mentioned the Ministry will work hard to develop the market for non-GE soybean oil from domestic soybeans. Under the new GE labeling policy, the Ministry of Food and Drug Safety (MFDS) must develop a list of products subject to GE labeling and a timeline to expand mandatory GE labeling to cover highly refined products without detectable DNA or protein, especially soy sauce, corn syrups, and edible oils. Thus, oil from domestic soybeans, which are not GE, will not carry a GE label while most oil from imported soybeans, which are over 90 percent GE, will require a GE label.

Figure 3
Crush Volume Remains Below Capacity



Source: Korea Soybean Processing Association, Soybean Crushing Industry (for capacity)

Note: Crushing capacity is based on 24 hours processing for 330 days

Oilseeds Trade

In line with reduced crushing demand and lower import quotas for food-grade soybeans, FAS Seoul forecasts imports will remain below 1.1 MMT for MY 2026/27, compared to a three-year average of 1.2 MMT. Current low crushing margins due to low soybean meal prices limit local crushing demand, while the government's decision to restrict the WTO TRQ for food grade soybeans to the minimum quota volume to promote domestic soybeans will further reduce imports.

Soybeans for Crushing

The ROK's two local soybean crushers use imported soybeans almost exclusively to produce soybean oil and soybean meal. Thus, crushing volumes generally comprise around 75 percent of overall soybean imports. Based on the crushing facilities' 2026 operating plans, FAS Seoul forecasts 800,000 MT of soybean imports for crushing in both MY 2025/26 and in MY 2026/27, which is about 20 percent below the previous 10-year average. The United States and Brazil continue to dominate the market; U.S. share is expected to hold steady at about 40 percent, driven by the constant demands for U.S. soybeans during their peak export season.

The U.S. share of soybeans for crushing in MY 2024/25 temporarily declined due to variations in sourcing during the seasonal transition months. Normally, deliveries from October through March to the ROK are from the United States, and during the remaining months the ROK primarily sources from Brazil. In MY 2024/25, U.S. purchases began later than usual, leading to

the drop in market share. In general, U.S. soybeans account for about 35-45 percent of total imports.

Table 2
Soybean Imports by Marketing Year by Origin

Total Soybean Imports by Origin (Metric Tons)					
By Purpose	By Country	MY 2023/24 Oct. to Sep.	MY 2024/25		MY 2025/26 Oct. to Jan.
			Oct. to Sep.	Change	
Crushing	United States	360,298	308,395	-51,903	238,770
	(of total crushing)	43%	36%	-7%p	88%
	Brazil	469,991	541,331	+71,340	32,203
	Others	372	325	-47	115
	Total	830,661	850,051	+19,390	271,088
Food Grade	United States	200,383	197,067	-3,316	18,523
	China	37,809	32,686	-5,123	40,684
	Canada	36,299	38,141	+1,842	8,351
	Others	12,870	9,646	-3,224	5,440
	Total	287,361	277,540	-9,821	72,998
Total		1,118,022	1,127,591	9,569	344,086

Source: Korea Customs Service (KCS)

Soybeans for Food Use

Aligning with MAFRA's efforts to replace rice paddies with alternative crops like soybean, and to encourage demand for domestic soybeans in the market, the Ministry has also taken measures to reduce food-grade soybean imports amidst burgeoning stocks of domestically produced soybeans. On December 2, 2025, the Ministry of Economy and Finance (MOEF) announced through its 2026 autonomous TRQ management plan that starting in 2026, it would limit soybean imports to the WTO minimum quota of 185,787 MT, ending the additional annual quota of about 40,000 MT previously granted in response to local industry demand. The WTO food-grade soybean TRQ scheme operates with an in-quota tariff rate of 5 percent, while the out-of-quota tariff rate is a prohibitive 487 percent, or 956 Korean won (\$0.74) per kg, whichever is greater. According to the official announcement:

“To ensure stable supply and demand for agricultural, forestry, and livestock products where domestic production falls short of domestic consumption, the TRQ increase will be applied to 14 items including sesame seeds, red beans/mung beans, and malt. Soybeans, however, were excluded from the increase due to the trend of rising domestic soybean stocks and production.”

(See [2026 Autonomous Tariff Rate Quota \(TRQ\) and Other Flexible Tariff Management Plan](#), in Korean)

In response to the announcement, several Korean media outlets reported local industries would face difficulties switching from imported soybeans due to quality differences and production formulas developed over years of using imported ingredients.

The United States is the primary supplier of food-grade soybeans to the ROK, with the remaining shares filled by China, Canada, and Australia. The United States is expected to retain about 65-70 percent market share for food-grade soybean imports in the current year, though quantities will decline as total imports decrease. Food-grade soybeans from the United States are primarily used in consumer-oriented products like tofu, soybean paste, sauces, and soymilk, while China mainly supplies soybeans for sprouting. The ROK is generally the second largest export market for U.S. food-grade soybeans, which are identity preserved (IP) as non-GE soybeans.

Table 3
Voluntary add-up of WTO TRQ has declined over years

WTO TRQ Management for Food-grade Soybean (Metric Tons)			
Calendar Year	WTO Minimum	Voluntary Add-up	Total
2020	185,787	41,680	227,467
2021		38,335	224,122
2022		77,962	263,749
2023		45,000	230,787
2024		38,200	223,987
2025		32,966	218,753
2026		0	185,787

Source: Industry Associations of Soy Food Manufacturers' Report

Table 4
Food-Grade Soybean TRQ Schedules under Bilateral FTAs

Food-Grade Soybean TRQ Schedules under Bilateral FTAs (Metric Ton, Calendar Year)					
	2022	2023	2024	2025	2026
USA	31,669	32,620	33,599	34,606	35,645
Australia	900	950	1,000	1,000	1,000
Canada	16,200	16,600	17,000	17,000	17,000
China	10,000	10,000	10,000	10,000	10,000
Total	58,769	60,170	61,599	62,606	63,645

Source: FTA agreement text through KCS FTA Portal

In addition to the WTO TRQ, many food soybean supplier countries have zero duty TRQs through their free trade agreements (FTAs) with the ROK. Under the U.S.-Korea Free Trade Agreement (KORUS), the ROK established a zero-duty TRQ for U.S. food-grade IP soybeans.

The quota began at 10,000 MT in the first year of the agreement (2012), increasing to 20,000 MT in 2013 and 25,000 MT in 2014. Starting in 2015, the TRQ volume grows 3 percent annually in perpetuity. Accordingly, 35,645 MT of food-grade soybeans under the KORUS FTA have been allocated for import in CY 2026. Australia, Canada, and China have similar food-grade soybean TRQs through their bilateral FTAs with the ROK.

Table 5
Tariff Schedule and Applied Tariff Rates for Selected Oilseeds

Base Tariff and Applied Tariff Rate for Oilseeds (Percent, As of CY 2026)						
Commodity	H.S. Code	Base	Autonomous TRQ	WTO TRQ		KORUS FTA
				In-quota	Out-of-quota	
Soybean, Crushing	1201.90.1000	3	0 (1.1 MMT)	5	487 percent or 956 KRW per kg, whichever is greater	0
Soybean, Seed	1201.10.xxxx	3	N/A	5 (185,787MT)	487 percent or 956 KRW per kg, whichever is greater	0 (35,645 MT)
Soybean, Feed ^{2/}	1201.90.2000					
Soybean, Sprouting	1201.90.3000					
Soybean, Food Grade	1201.90.9000					
Rapeseed, Crushing	1205.xx.9000	10	N/A	20		0
Cottonseed, Feed	1207.29.1000	2	N/A	6.6		0
Sesame Seed	1207.40.0000	40	N/A	40 (70,000 MT)	630 percent or 6,660 KRW/kg, whichever is greater	42 percent or 444 KRW/kg, whichever is greater (<6,867 MT); 630 percent (>6,867MT)
Perilla Seed	1207.99.1000	40 percent or 410 KRW/kg, whichever is greater	N/A	54		0
Others	1207.99.9000	3	N/A	36		0

Source: Customs Law Information Portal (CLIP) under Korea Customs

Note: If separate in-quota/ out-of-quota duty rates are specified for an item under the WTO TRQ, then they take precedence over other duty rates except the autonomous TRQ and FTA preferential duty rates. Otherwise, the lowest tariff rate will be prioritized. Only designated government entities for each item have authorization to apply in-quota rates under WTO TRQs. Autonomous rate tariffs are flexibly determined by the government based on domestic market conditions, such as the need to facilitate imports to ensure supplies, to stabilize domestic prices, or to correct imbalances in tax rates among similar products. Autonomous TRQs take precedence over WTO TRQs.

Table 6
Production, Supply and Distribution: Soybean Oilseed

Oilseed, Soybean Market Year Begins Korea, Republic of	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	69	74	70	74	0	73
Area Harvested (1000 HA)	74	74	79	74	0	73
Beginning Stocks (1000 MT)	110	110	83	140	0	126
Production (1000 MT)	155	155	160	156	0	154
MY Imports (1000 MT)	1128	1128	1160	1070	0	1070
Total Supply (1000 MT)	1393	1393	1403	1366	0	1370
MY Exports (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	950	837	900	800	0	800
Food Use Dom. Cons. (1000 MT)	315	366	365	370	0	370
Feed Waste Dom. Cons. (1000 MT)	45	50	45	50	0	50
Total Dom. Cons. (1000 MT)	1310	1253	1310	1220	0	1220
Ending Stocks (1000 MT)	83	140	93	146	0	150
Total Distribution (1000 MT)	1393	1393	1403	1366	0	1370
Yield (MT/HA)	2.0946	2.0946	2.0253	2.1081	0	2.1096
(1000 HA) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Note: USDA Official Data are based on February 2026 WASDE

Oilseed Meal

Oilseed Meal Production

Based on industry soybean crushing plans, FAS Seoul forecasts that in-country soybean meal production will remain flat at 576,000 MT in MY 2026/27 after declining to this level in MY 2025/26 due to low crushing margins compared to imported soybean byproducts, particularly soybean meal. This marks the lowest soybean meal production level since 1991 and falls significantly behind the past five-year average of 710,000 MT.

Nearly all vegetable meal produced in the ROK comes from imported soybeans. Two local crushers – CJ CheilJedang and Sajo Daerim Corporation – produce all domestic soybean meal. Together, they have an annual soybean crushing capacity of 1.1 MMT, equivalent to a daily capacity of 3,200 MT to produce around 2,300 MT of soybean meal. However, crushing rates in the initial months of MY 2025/26 are 66-75 percent of total capacity, which industry expects to maintain into MY 2026/27.

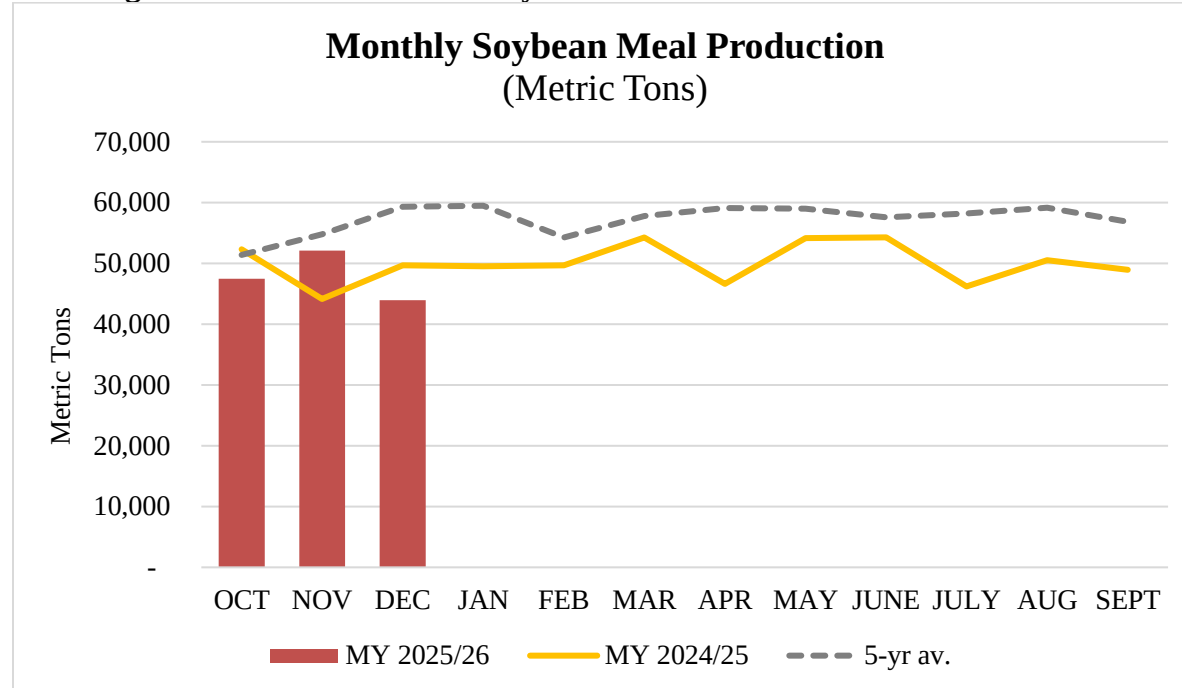
The soybean meal extraction rate in the ROK is 0.72, unchanged year-over-year. Compared to other markets, this rate reflects a greater preference for high-protein soybean meal in the compound feed market.

Table 7
Monthly Soybean Meal Production by Domestic Crushing

Soybean Meal Production^{1/} (Metric Tons)			
Month	MY 2022/23	MY 2023/24	MY 2024/25
October	46,368	53,914	52,293
November	62,046	52,306	44,146
December	63,894	55,879	49,681
January	64,124	55,207	49,540
February	56,756	48,791	49,678
March	58,425	52,641	54,244
April	67,865	45,462	46,646
May	62,001	49,582	54,181
June	54,951	57,563	54,277
July	58,177	62,094	46,209
August	59,107	59,182	50,531
September	60,058	55,308	48,946
Total	713,771	647,929	600,372
Extraction Rate (Percent)	72.03	71.85	71.75

Source: Korea Soybean Processing Association (KSPA); 1/ based on crushers' actual extraction rate

Figure 4
Crushing on Pace for Record Low Soybean Meal Production



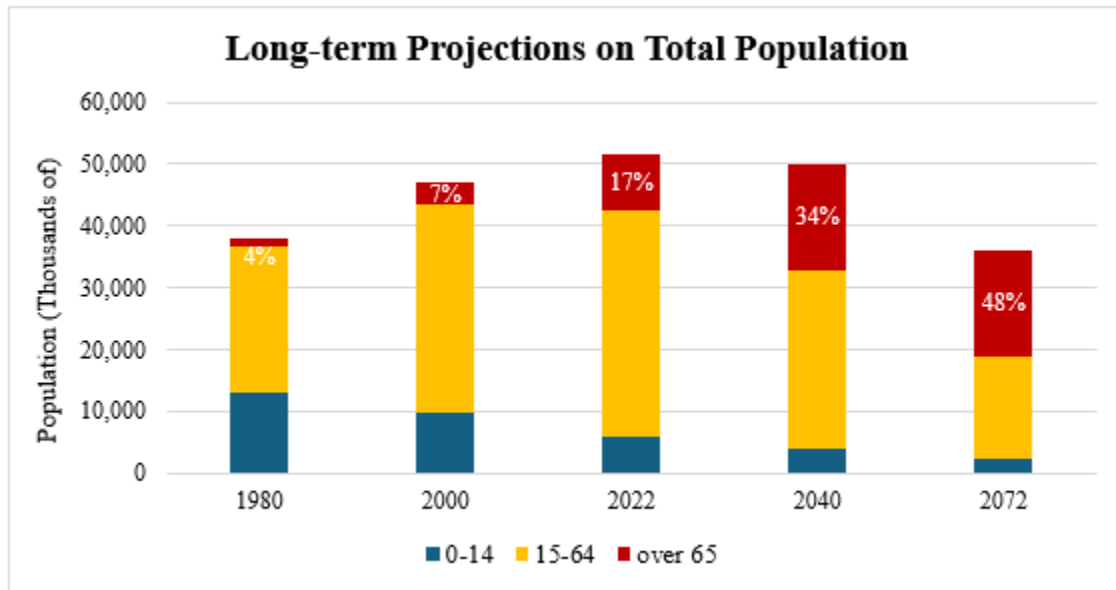
Source: Korea Soybean Processing Association (KSPA)

Oilseed Meal Consumption

The Korean oilseed meal market is mature, with stable demand as a key ingredient in compound feed production. The ROK generally produces around 22 MMT of compound feed annually, and FAS Seoul expects a similar volume in MY 2026/27.

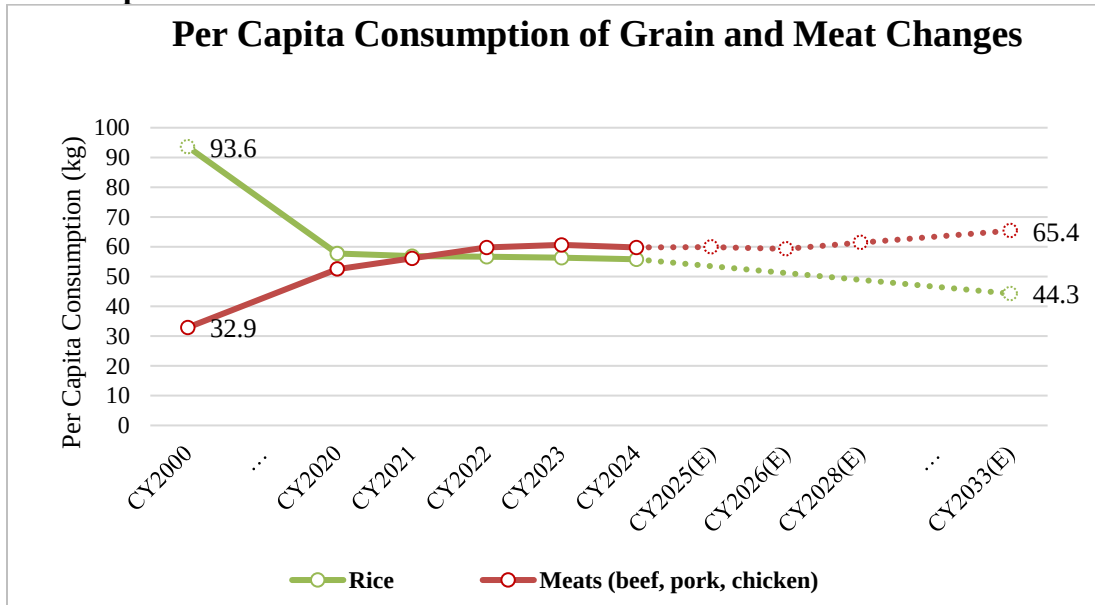
Total consumption of primary meats – chicken, pork, and beef – increased significantly along with population growth through 2024 to over 3 MMT. Per capita meat consumption also grew rapidly and exceeded rice consumption in CY 2022. However, now the ROK has the world’s lowest fertility rate, registering 0.74 children per woman in 2024 and increasing slightly to 0.8 in 2025 (replacement level is generally considered to be 2.1 children per woman). Just as the ROK Ministry of Data and Statistics (MODS) shows the nation’s population peaking in the mid-2020s, total livestock numbers have also peaked and entered a mature phase, with no significant growth anticipated in coming years. Long-term projections by KREI show that the growth rate in per capita meat consumption will remain steady through CY 2033, but given the ROK’s ongoing demographic shift towards a shrinking and aging population, potential increases in total animal numbers and total meat consumption will be limited.

Figure 5
ROK Population Peak



Source: Ministry of Data and Statistics (Long-term population projection for Korea, Dec 2023)

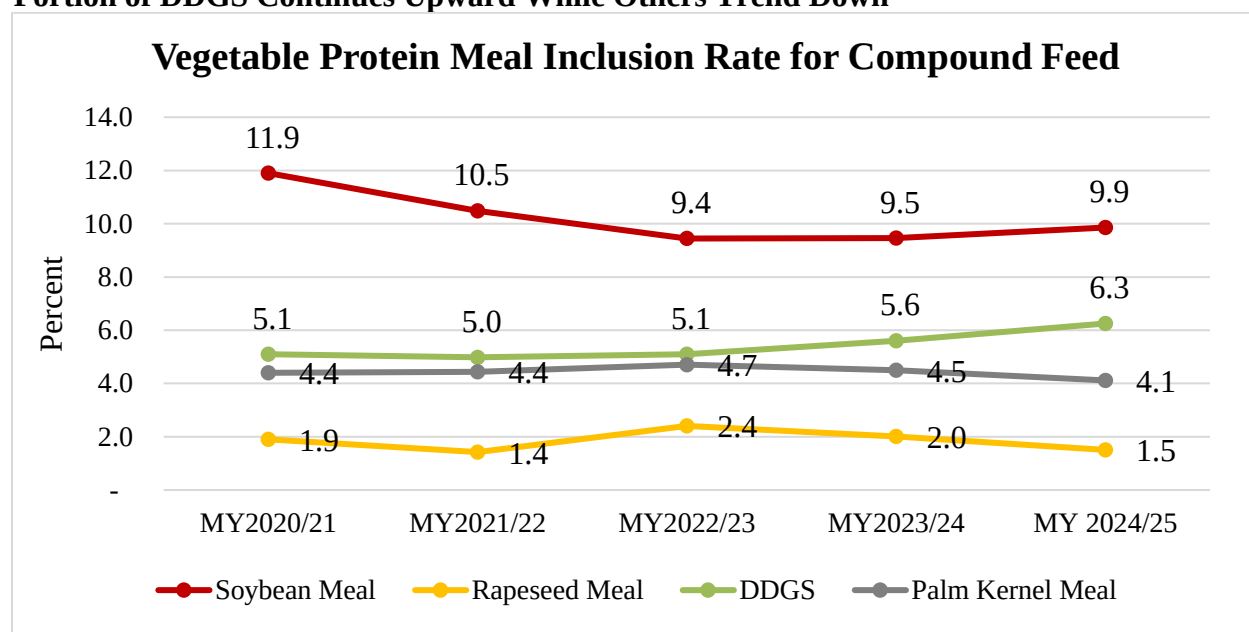
Figure 6
Meat Replaces Rice in the Korean Diet



Source: KREI Agricultural Outlook 2026

The ROK has a highly price-sensitive compound feed industry. Depending on the relative price positioning, rapeseed meal has substituted for some portion of soybean meal. Government policies encouraging low carbon dioxide emissions have promoted greater use of alternative feed ingredients beyond soybean meal, which limit further increases in soybean meal consumption, particularly for swine feed. For example, DDGS have emerged as a strong feed source with mid-level protein content and affordable prices, and consumption is likely to increase and replace portions of soybean meal's share in the coming years. The United States is the primary supplier of DDGS to the ROK, consistently maintaining a market share of 96 percent.

Figure 7
Portion of DDGS Continues Upward While Others Trend Down



Source: Korea Feed Association (KFA)

Soybean Meal

Post forecasts that soybean meal consumption will decline slightly in MY 2026/27, considering ongoing carbon neutralization initiatives led by MAFRA, which favor alternate protein sources in compound feed. In December 2021, MAFRA revised the Feed Processing Manual, mandating new crude protein caps in compound feed for cattle and poultry while lowering levels for swine at each lifecycle stage. These government efforts have led to a structural shift in soybean meal consumption, resetting annual demand to the 2.0-2.1 MMT range, down from the pre-2021 levels of over 2.3 MMT.

Compared to other ingredients, soybean meal has dominated as the preferred protein source in compound feed production because of its nutritional value. Corn is the largest feedstock, comprising over 40 percent. Vegetable proteins account for 25 percent of compound feed ingredients, and soybean meal's share is approximately 10 percent of total feed ingredients. When converted into total soybean meal equivalent (SME) value, DDGS and other meals account for approximately 40 percent of total vegetable protein, contributing as primary feedstocks, while soybean meal leads with 60 percent.

Table 8
Feed Ingredients Used for Compound Feed Production

Feed Ingredients Use for Compound Feed Production (1,000 Metric Tons, from September to October)						
Items	MY 2022/23		MY 2023/24		MY 2024/25	
	Quantity	Percent	Quantity	Percent	Quantity	Percent
Total Grains and Grain Substitution	13,512	63.1	13,822	63.9	13,771	64.2
- Wheat	1,797	8.4	2,002	9.3	1,689	7.9
- Corn	9,279	43.3	9,093	42.0	9,220	43.0
- Rice	52	0.2	339	1.6	345	1.6
- Others	2,382	11.1	2,388	11.0	2,517	11.7
Total Vegetable Protein	5,479	25.6	5,428	25.1	5,337	24.9
- Soybean Meal ^{1/}	2,023	9.4	2,060	9.5	2,112	9.9
- Rapeseed Meal	515	2.4	437	2.0	323	1.5
- Palm Kernel Meal	1,008	4.7	953	4.4	882	4.1
- Coconut meal	259	1.2	197	0.9	206	1.0
- DDGS	1,093	5.1	1,229	5.7	1,340	6.3
- Others	581	2.7	551	2.5	475	2.2
Total Animal Protein	211	1.0	218	1.0	224	1.0
- Fish Meal	9	0.0	8	0.0	9	0.0
- Others	202	0.9	210	1.0	215	1.0
Total Others	2,216	10.3	2,174	10.0	2,107	9.8
Grand Total	21,418	100.0	21,642	100.0	21,439	100.0

Source: Korea Feed Association (KFA)

1/ includes locally processed de-hulled soybean meal

Table 9
Conversion to Total SME Value

Conversion to Total SME Value for Selected Meals (1,000 Metric Tons, as of MY 2024/25)			
Items	Meal Conversion Factor	Consumption	Consumption to SME
Soybean Meal	1	2,112	2,112
DDGS	0.5833	1,340	782
Palm Kernel Meal	0.3557	882	314
Rapeseed Meal	0.7115	323	229
Fish Meal	1.445	9	13
Total SME for Selected Items			3,450

Note: Conversion rate follows USDA's guideline

Oilseed Meal Trade

The ROK relies on soybean meal imports for about 70-75 percent of total supply due to excess demand beyond domestic production. To support the livestock industry, the ROK maintains an autonomous WTO TRQ for vegetable protein meals such as soybean meal, which is set at 2.0 MMT in 2026 with a zero percent in-quota import duty. Previously, the ROK included DDGS in the autonomous quota with an allocation of 35,000 MT but removed it in 2026.

Imports from countries that have free trade agreements with the ROK – the United States, Australia, Canada, India, and Vietnam – receive preferential zero-tariff rates. Imports from other countries, including China and Brazil, are subject to a 2 percent import tariff.

Soybean Meal

Post Seoul forecasts soybean meal imports in MY 2026/27 will be slightly lower than the three-year average to work through excess stock levels, which had accumulated due to declining feed consumption while imports peaked in MY 2024/25.

Due to the competitive price of South American soybean meal, market share of imported U.S. soybean meal has stayed below 5 percent. Nonetheless, FAS Seoul expects that increasingly ample supplies of U.S. soybean meal could become more price competitive as the United States expands crushing capacity in line with energy policies. Korean feed buyers are highly price-sensitive, and their group purchasing scheme – consisting of more than five companies per group, organized by destination port – causes them to prioritize price over quality considerations that might vary across companies. According to local industry sources, feed meal buyers open purchase tenders worldwide, meaning sellers and traders make the final decision on country of origin as the shipping window approaches.

The ROK exports some locally crushed soybean meal, especially high-protein meals with protein content above 47.5 percent. Due to the decrease in local crushing, FAS Seoul forecasts soybean meal exports down from normal years in MY 2026/27 and MY 2025/26, but similar to MY 2024/25. The main market for Korean soybean meal exports is Japan.

Table 10
Soybean Meal Exports

Soybean Meal Exports (Metric Tons)			
Country	MY 2022/23	MY 2023/24	MY 2024/25
Japan	60,590	39,615	14,050
Others	9	12	36
Total	60,599	39,627	14,086

Source: Korea Customs Service (KCS)

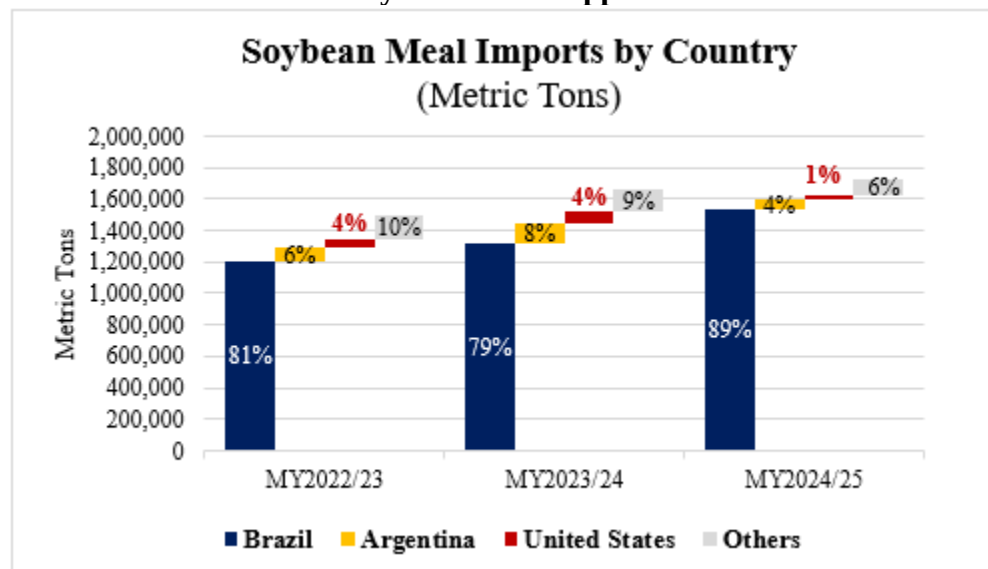
Table 11
Oilseed Meal Imports

Oilseed Meal Imports (Millions USD, 1,000 Metric Tons, USD per Metric Ton)									
Commodity	MY 2023/24			MY 2024/25			Year-over-year Change		
	Value	Quantity	Unit price	Value	Quantity	Unit price	Value	Quantity	Unit price
Soybean Meal	851	1,664	512	730	1,725	423	-122	+61	-89
(From USA)	35	67	523	8	24	333	-27	-43	-189
(USA Share)	4%	4%	N/A	1%	1%	N/A	-3%p	-3%p	N/A
Rapeseed Meal	134	413	325	101	389	259	-33	-23	-66
Palm Kernel Meal	185	1,007	183	147	957	154	-38	-49	-30
Copra Meal	56	217	259	37	189	196	-19	-27	-64
DDGS	375	1,372	273	321	1,409	228	-53	+36	-45
(From USA)	362	1,322	274	312	1,365	228	-50	+43	-46
(USA Share)	97%	96%	N/A	97%	97%	N/A	0%p	+1%p	N/A
Others ^{1/}	110	63	174	97	62	156	-13	-1	-18
Total	1,710	4,736	361	1,433	4,733	303	-278	-4	-58

Source: Korea Customs Service (KCS)

1/ includes cottonseed meal, peanut meal, sunflower seed meal and fish meal

Figure 8
South America Leads as Soybean Meal Supplier



Source: Korea Customs Service (KCS)

Table 12
Applied Tariff Schedule

Base Tariff and Applied Tariff Rate for Oilseed Meals (Percent, As of CY 2026)					
Commodity	H.S. Code	Base	Autonomous TRQ	WTO TRQ	KORUS FTA
Soybean Meal	2304.00.0000	1.8	0 (2,000,000 MT)	1.8	0
DDGS	2303.30.1000	2	N/A	6.6	0
Cottonseed Meal	2306.10.0000	2		6.6	0
Rapeseed Meal	2306.41.0000, 2306.49.0000	0		0	0
Copra Meal	2306.50.0000	2		5	0
Palm Kernel Meal	2306.60.0000	2		5	0

Source: Customs Law Information Portal (CLIP) under Korea Customs

Table 13
Production, Supply and Distribution: Soybean Meal

Meal, Soybean Market Year Begins Korea, Republic of	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	950	837	900	800	0	800
Extr. Rate, 999.9999 (PERCENT)	0.7221	0.7168	0.7611	0.72	0	0.72
Beginning Stocks (1000 MT)	200	200	202	369	0	415
Production (1000 MT)	686	600	685	576	0	576
MY Imports (1000 MT)	1725	1725	1725	1600	0	1550
Total Supply (1000 MT)	2611	2525	2612	2545	0	2541
MY Exports (1000 MT)	14	14	10	10	0	10
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	25	30	25	20	0	20
Feed Waste Dom. Cons. (1000 MT)	2370	2112	2375	2100	0	2080
Total Dom. Cons. (1000 MT)	2395	2142	2400	2120	0	2100
Ending Stocks (1000 MT)	202	369	202	415	0	431
Total Distribution (1000 MT)	2611	2525	2612	2545	0	2541
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Note: USDA Official Data are based on February 2026 WASDE

Oilseed Oil

Oilseed Oil Production

Soybean Oil

Post Seoul forecasts that the ROK's MY 2026/27 soybean oil production will remain flat at approximately 152,000 MT, over 20 percent below the five-year average of 193,000 MT. The below-average production is primarily due to declining soybean crushing margins driven by the competitive pricing of imported soybean meal and intensified market competition in the domestic soybean oil industry from emerging small-and-medium-sized companies selling imported soybean oil at lower prices. According to industry contacts, local crushers are skeptical of increasing capacity utilization given current weak crushing margins for imported soybeans.

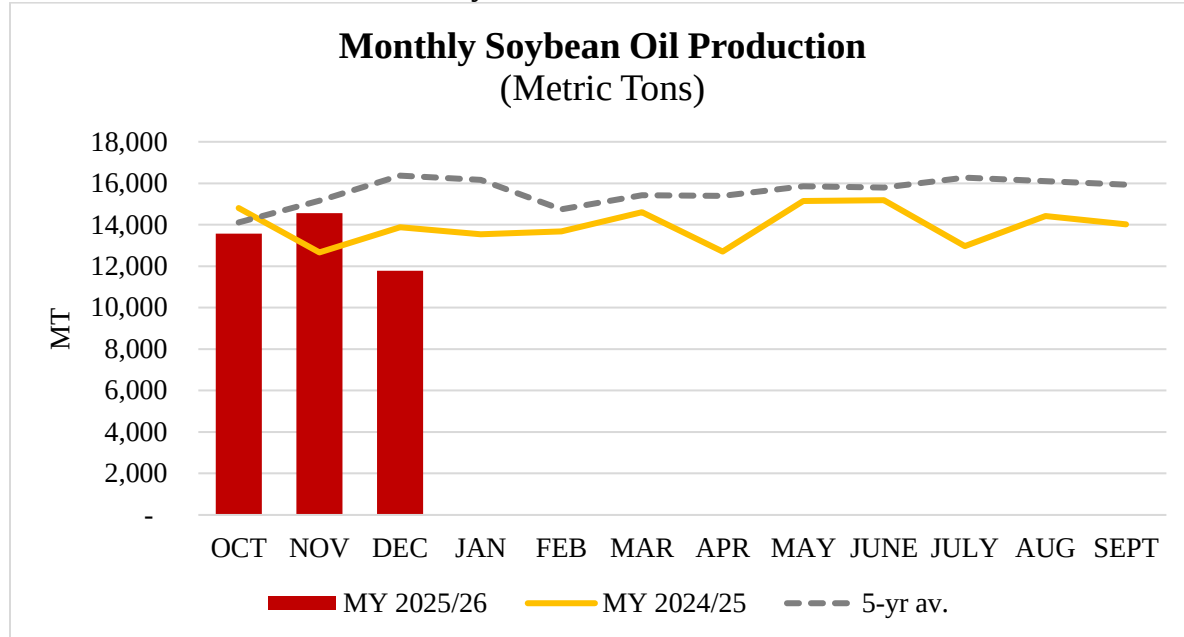
The soybean oil extraction rate in The ROK is steady at 0.19.

Table 14
Soybean Oil Production from Domestic Crushing by Month

Soybean Oil Production (Metric Tons)			
Month	MY 2022/23	MY 2023/24	MY 2024/25
October	12,555	15,137	14,801
November	16,717	14,363	12,664
December	17,367	15,795	13,878
January	17,342	15,163	13,544
February	15,146	13,173	13,678
March	15,744	13,930	14,596
April	18,147	12,139	12,712
May	16,847	13,660	15,144
June	15,316	16,186	15,183
July	16,185	17,540	12,968
August	16,407	16,376	14,413
September	16,769	15,386	14,017
Total	198,914	194,542	178,848
Extraction Rate (Percent)	19.63	19.83	20.03

Source: Korea Soybean Processing Association (KSPA)

Figure 9
Continued Low Crush Reduces Soybean Oil Production



Source: Korea Soybean Processing Association (KSPA)

Oilseed Oil Consumption

Post Seoul forecasts total edible oil consumption in MY 2026/27 will remain similar to the historical average but with increasing proportions of imported crude and refined oils. This trend reflects continued declines in domestic production from rising costs compared to imported oil.

According to MFDS's annual report on oil consumption for food, the ROK's total consumption has been stable since CY 2020, with year-to-year variations in the shares of different oil types but no significant changes in the types of oil; soybean oil, palm oil, and rapeseed oil dominate the market. As the original database excludes oil used in processed products such as noodles and snacks, actual oil consumption for food is larger than the figures published by MFDS.

Total consumption showed an uptick in CY 2024 to 1.1 MMT due to increases in soybean oil and palm oil, driven by a recovery in demand for dining out and overall consumer optimism in the post-pandemic area.

Soybean Oil and Palm Oil

Consumption of soybean oil is forecast at 620,000 MT in MY 2026/27, reflecting steady demand as the primary edible oil source. Korean customers increasingly seek to diversify their oil choices based on individual health concerns. However, due to strong preferences for soybean oil in the B2B market as an ingredient for food manufacturing, plus reasonable prices compared to alternatives such as olive oil, soybean oil will continue to drive total edible oil consumption.

The ROK heavily relies on soybean and palm oil as cooking oils, which together usually cover 65 to 80 percent market share of total oil consumption for food use. Palm oil is the cheapest available oil, and due to its high demand in food manufacturing, there is no household use of palm oil in the ROK.

Table 15
Food Use Domestic Consumption by Oils

Oil Consumption for Food Use in CY2024 (Metric Tons, Calendar Year)		
Item	CY 2024	Share
Palm Oil	158,809	N/A
Palm Oil (Adjusted) ¹⁾	282,479	25%
Soy Oil	588,047	53%
Rapeseed Oil	107,859	10%
Coconut Oil	7,188	1%
Sunflower Oil	28,896	3%
Olive Oil	3,839	0%
Rice Bran Oil	9,535	1%
Palm Kernel Oil	40	0%
Corn Oil	42,315	4%
Perilla Oil	4,469	0%
Sesame Oil	28,382	3%
Others ²⁾	4,519	0%
Total	983,899	N/A
Total (Adjusted) ¹⁾	1,107,569	100%

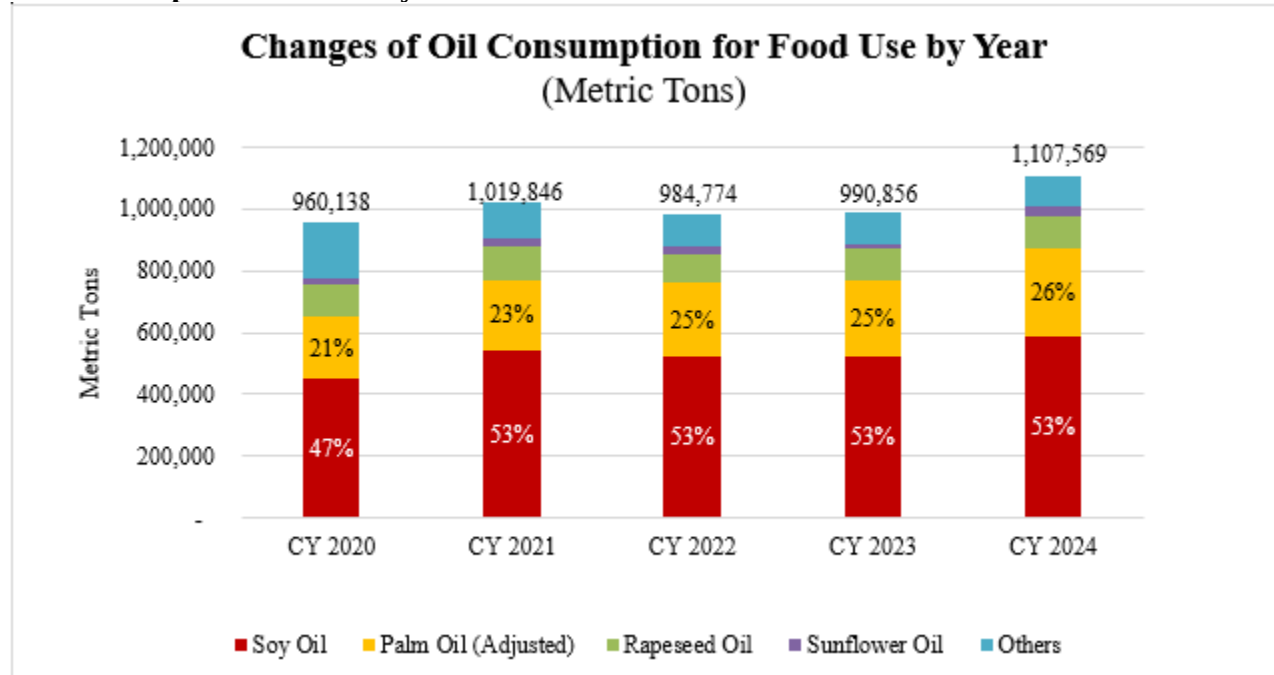
Source: MFDS, Production and sales for food in Edible oil category

Note: MFDS data are based on deliveries from food manufacturers only and exclude processed products that do not contain edible oil in the final products (e.g. noodles/snacks). Imports of final goods are included. FAS/Seoul included the additional portion of three main oils by adding mixed oil consisting of soybean oil (60 percent), rapeseed oil (20 percent) and palm oil (20 percent) which mainly used for food service in 18L containers.

1) Includes palm oil in cooking oil as a final product plus FAS/Seoul estimate of palm oil used in ramyeon manufacturing based on ramyeon export statistics with the ratio of edible oil use in the product (about 60 percent). Post estimated the additional use for manufactured foods (snacks) because there is no official data.

2) Includes grapeseed oil, avocado oil, and others

Figure 10
Oil Consumption Recovers by CY 2024



Source: MFDS, Production and sales for food in Edible oil category

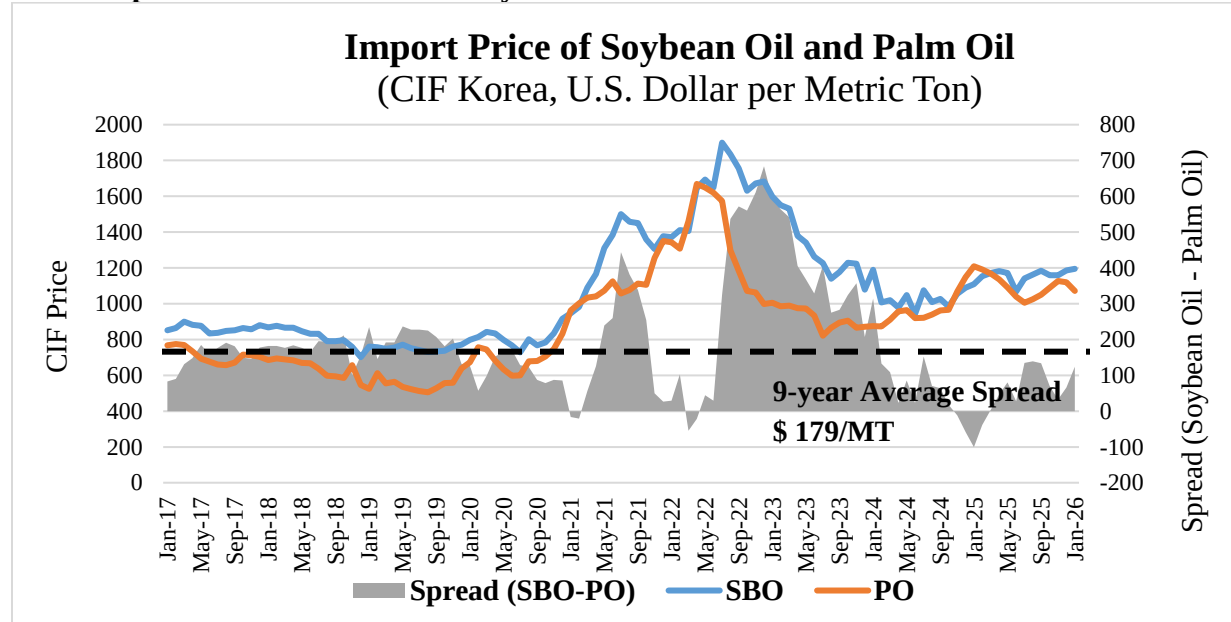
Oilseed Oil Trade

Soybean Oil and Palm Oil

Post Seoul forecasts that ROK soybean oil imports will decline in MY 2026/27 to 450,000 MT, which remains higher than the three-year average of 400,000 MT. Despite the decrease in crushing and flat total demand forecast, FAS Seoul attributes the oil import decline to excess ending stocks accumulated in MY 2024/25. As shown in recent soybean oil import trends, the range of supplier countries has diversified in response to the local industry's prioritization of price over country of origin. According to industry contacts, they expect global palm oil export availability to be limited by national energy policies in major supplying countries. Thus, they anticipate substituting soybean oil for portions of palm oil demand.

Post Seoul projects that the market share of U.S. soybean oil will contract slightly, depending on national energy policies within the United States. Due to recent experience importing soybean oil from various countries outside their traditional suppliers, Korean buyers have become more flexible regarding country of origin and show a greater tendency to choose the lowest price option.

Figure 11
Price Gap between Palm Oil and Soybean Oil Narrowed



Source: Korea Customs Service (KCS)

Note: Price referred to combined crude oil and refined oil, and is based on CIF destination ports in Korea

Table 16
Selected Oil imports by Commodity

Selected Oil Imports by Commodity (1,000 Metric Tons, CIF USD per Metric Tons)						
Commodity	MY 2023/24		MY 2024/25			
	Quantity	Unit price	Quantity		Unit price	
			YoY(%)		YoY(%)	
Palm Oil	647	918	586	- 10	1,087	+18
Soy Oil	447	1,067	482	+8	1,120	+5
(of total)	34%	N/A	38%	+4%p	N/A	N/A
Rapeseed Oil	151	1,114	152	+1	1,103	- 1
Sunflower Oil	44	1,543	37	- 17	1,718	+11
Olive Oil	21	9,243	13	- 38	8,533	- 8
Corn Oil	3	1,147	1	- 47	1,547	+35
Others ¹⁾	12	6,375	13	+13	6,130	- 4
Total	1,326	1,194	1,285	- 3	1,249	+5

Source: Korea Customs Service (KCS)

1) Includes grapeseed oil, avocado oil, and others (HS code 1515.90.9090)

Note: Price is based on cost, insurance and freight (CIF) at destination ports in Korea

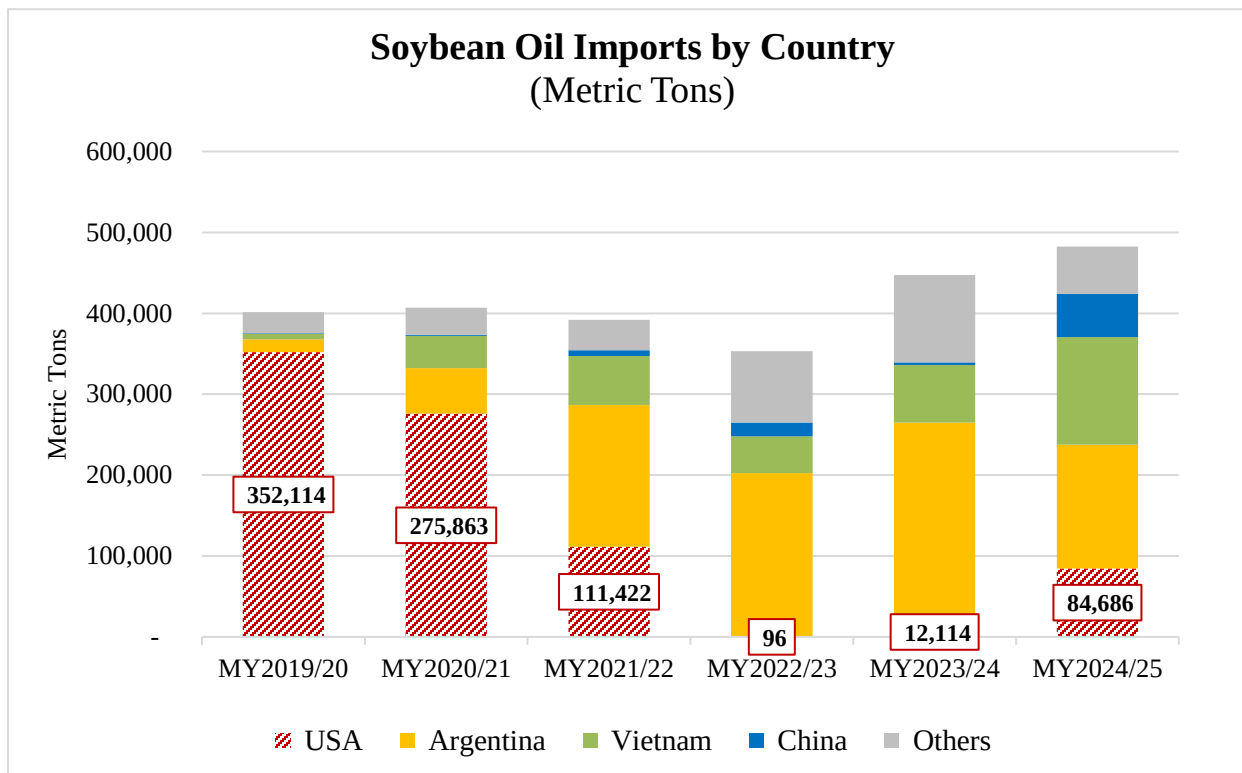
In the past, soybean oil had been supplied primarily by the United States and Argentina. The two-year soybean oil import tariff exemption brought a full shift in supplying countries and the soybean oil industry by allowing new market entrants. From 2022 to 2023, through an effort to curb inflation, the ROK government temporarily granted exemptions to the import tariff for refined soybean oil, which had played a role in protecting local crushers and refineries. The base tariff was set at 5 percent, compared to the preferential zero-tariff rate for partner countries such as the United States, European Union member states, Vietnam, and others. The tariff returned to normal at the beginning of 2024 but resulted in new soybean oil companies entering the market. New entrants had imported refined soybean oil from Southeast Asian countries, China, and others, and sold it through B2B channels at a lower price than leading-brand soybean oil producers.

Table 17
Soybean Oil Imports by Country and by Type

Soybean Oil Imports by Country and by Type (Metric Tons)				
Item	MY2023/24	MY2024/25		MY 2025/26
	Oct. to Sep.	Oct. to Sep.	Change	Oct. to Jan.
Total	447,461	482,357	+34,896	151,396
By Country				
United States (of total)	12,114 3%	84,686 18%	+72,572 +15%p	11,833 8%
Argentina	252,735	153,122	-99,613	5,018
Brazil	6,709	459	-6,250	-
Vietnam	71,309	132,764	+61,455	69,417
Others	104,594	111,326	+6,732	65,128
By Type				
Crude (of total)	338,692 76%	374,994 78%	+36,302 +2%p	101,814 67%
Refined	108,769	107,363	-1,406	49,582

Source: Korea Customs Service (KCS)

Figure 12
The United States Disappeared but Showed in MY 2024/25 as a Soybean Oil Supplier



Source: Korea Customs Service (KCS)

Note: Numbers in square show the imports from the United States

Biofuels

The ROK consumes an estimated 22 MMT of petroleum-based fuels annually. The ROK's mandated percentage of biofuel blending in petroleum-based diesel will rise moderately over the next few years, to 8 percent by 2030 from its current 4 percent in 2026 and 4.5 percent in 2027. To meet the 2027 mandate of 4.5 percent, the ROK will have an estimated 100,000 MT of additional biofuel feedstock demand. The portion of soybean oil and palm oil, however, will be limited due to the competitive pricing of alternative feedstocks and limited global availability of those two oils.

Many Korean companies recently announced investment plans in conjunction with the increased demand for renewable energy. Particularly, hydrotreated vegetable oil (HVO) is emerging as promising energy source, as it achieves higher carbon reduction certification scores than conventional biodiesel. In July 2025, one of the ROK's leading chemical companies, LG Chemical, initiated construction of the first HVO plant in Korea, with expected annual production capacity of 300,000 MT by 2027. According to LG Chemical, 50-70 percent of HVO production from the plant will be used for sustainable aviation fuel (SAF) and 10-40 percent for biodiesel by utilizing various feedstocks, particularly palm byproducts and used cooking oil (UCO).

According to the Korea Bio-energy Association (KBEA), the main feedstocks used to produce biodiesel domestically are RBD (Refined, Bleached, and Deodorized) palm oil and oil palm byproducts. In CY 2024, Korea imported more palm byproducts as primary feedstocks with a share of 72 percent, compared to 55-65 percent in previous years. Due to the projected downtrend in export availability of palm oil due to the exporting countries' energy policies, industry contacts expect the ROK to increase its share of palm byproducts and UCO. Currently, UCO accounts for about 20-30 percent of total biodiesel feedstocks.

The ROK is an active UCO exporter with rapidly increasing annual exports, which reached 150,000 MT in MY 2024/25. Exports to the United States increased significantly, making the ROK a top five supplier to the United States. To offset the decline in UCO imports from China, the United States expanded the share from alternative suppliers. Accordingly, the ROK imported greater volumes of UCO to catch up with the demand.

Table 18
Types of Biodiesel Feedstock in the ROK

Biodiesel Feedstock by Year (1,000 Metric Tons, Calendar Year)							
By Type		2019	2020	2021	2022	2023	2024
Domestic Supplies	Used Cooking oil	161	175	174	172	166	205
	Animal Fat	16	9	4	46	59	32
	Others ²⁾	1	-	0	27	37	6
	Sub Total	178	184	178	244	262	243
Imports	Soybean Oil	1	16	48	14	13	10
	Palm Byproducts ¹⁾	337	337	333	398	408	555
	Palm Oil (RBD)	97	151	143	141	178	211
	Used Cooking oil (UCO)	5	65	133	59	40	33
	Others ²⁾	25	16	38	18	32	12
	Sub Total	465	585	695	629	671	821
Total		643	769	873	873	933	1,064
Portion (Percent)	Palm-related	67	63	55	62	63	72
	UCO	26	31	35	26	22	22

Source: Korea Bio-energy Association

1) All palm-related products except RBD Palm Oil, including PFAD (Palm Fatty Acids Distillate), Palm Acid Oil, Palm Kernel Oil, Palm Stearin. PFAD is the primary source of byproducts with the annual imports of 300,000 MT.

2) Includes fish and dark oil (domestically supplied); and rapeseed/coconut/cottonseed oil and tallow (imported)

Table 19
ROK Exports of Used Cooking Oil by Country

Export of Used Cooking Oil by Country (HS 1518 00 9090) (Metric Tons, Marketing Year)			
Country	MY2022/23	MY2023/24	MY2024/25
United States	5,000	27,161	105,736
Singapore	17,266	17,964	22,920
Malaysia	121	12,812	14,715
Netherlands	3,075	2,000	5,340
Spain	0	2,500	4,200
Others	1,470	638	1,734
Total	26,932	63,075	154,645

Source: Korea Customs Service (KCS)

Table 20
ROK Imports of Used Cooking Oil by Country

Imports of Used Cooking Oil by Country (HS 1518 00 9090) (Metric Tons, Marketing Year)			
Country	MY2022/23	MY2023/24	MY2024/25
China	14,571	22,708	80,072
Japan	28,693	43,854	40,291
Indonesia	2,709	740	11,157
Malaysia	0	0	7,007
Taiwan	6,833	6,789	5,967
Thailand	220	203	2,992
Others	7,181	4,407	7,706
Total	60,207	78,701	155,192

Source: Korea Customs Service (KCS)

Table 21
Tariff Schedule and Applied Tariff Rate for Selected Oils

Base Tariff and Applied Tariff Rate for Oils (Percent, As of CY 2026)						
Commodity	H.S. Code	Base	WTO TRQ		KORUS FTA	
			In-quota	Out-of-quota		
Soybean Oil for Food, Crude	1507.10.1000	5	5.4		0	
Soybean Oil for Biodiesel, Crude	1507.10.2000					
Soybean Oil for Other, Crude	1507.10.9000					
Soybean Oil for Food, Refined	1507.90.1010					
Soybean Oil for Biodiesel, Refined	1507.90.1020					
Soybean Oil for Other, Refined	1507.90.1090					
Soybean Oil, Other	1507.90.9000					
Olive Oil	1509.xx.xxxx	5	27		0	
Palm Crude Oil	1511.10.0000	3				
Palm Oil	1511.90.xxxx	2				
Sunflower Oil, Refined	1512.19.1010	5	18 (0 up to 5,000 MT) ²⁾			
Coconut Oil	1513.1x.xxxx	3	27			
Palm Kernel Oil ¹⁾	1513.21.1000	8	27			
	1513.29.1010					
	1513.29.9000					
Rapeseed Oil, Refined	1514.19 1514.99.xxxx	5	36			
Rapeseed Oil, Others, Crude	1514.11 1514.91.xxxx					
Corn Oil	1515.2x.xxxx	5	22.5			
Sesame Oil	1515.50.000	40	40	630 percent or 12,060 KRW/kg whichever is greater		0 (up to 61 MT) 630 percent (>61 MT)
Perilla Seed Oil	1515.90.1000	36	36			0
Rice Bran Oil	1515.90.9010	5	22.5		0	
Other Oil	1515.90.9090	5	22.5		0	

Source: Customs Law Information Portal (CLIP) under Korea Customs;

1) Applicable import duty of palm kernel oil – HS code 1513.21.1000 and HS 1513.29.1010 – is 5 percent of preferential rate (“international cooperation duty”)

2) Autonomous zero tariff is eligible for arrivals from January to June 2026.

Table 22
Production, Supply and Distribution: Soybean Oil

Oil, Soybean Market Year Begins Korea, Republic of	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	950	837	900	800	0	800
Extr. Rate, 999.9999 (PERCENT)	0.2021	0.2139	0.2022	0.19	0	0.19
Beginning Stocks (1000 MT)	94	94	116	135	0	130
Production (1000 MT)	192	179	182	152	0	152
MY Imports (1000 MT)	482	482	450	450	0	450
Total Supply (1000 MT)	768	755	748	737	0	732
MY Exports (1000 MT)	2	2	2	2	0	2
Industrial Dom. Cons. (1000 MT)	50	25	35	35	0	40
Food Use Dom. Cons. (1000 MT)	600	593	610	570	0	580
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	650	618	645	605	0	620
Ending Stocks (1000 MT)	116	135	101	130	0	110
Total Distribution (1000 MT)	768	755	748	737	0	732
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Note: USDA Official Data are based on February 2026 WASDE

Table 23
Production, Supply and Distribution: Palm Oil

Oil, Palm Market Year Begins Korea, Republic of	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	0	0	0	0	0	0
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	79	79	70	84	0	92
Production (1000 MT)	0	0	0	0	0	0
MY Imports (1000 MT)	586	586	600	610	0	590
Total Supply (1000 MT)	665	665	670	694	0	682
MY Exports (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	375	360	375	370	0	370
Food Use Dom. Cons. (1000 MT)	220	221	220	231	0	242
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	595	581	595	601	0	612
Ending Stocks (1000 MT)	70	84	75	92	0	71
Total Distribution (1000 MT)	665	665	670	693	0	683
Yield (MT/HA)	0	0	0	0	0	0
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Note: USDA Official Data are based on February 2026 WASDE

Attachments:

No Attachments